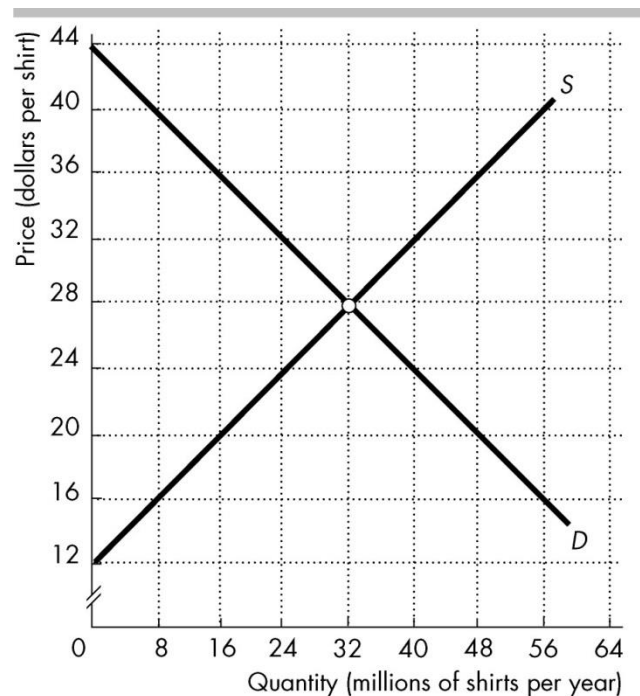


Practice questions for international trade (Chapter 7)

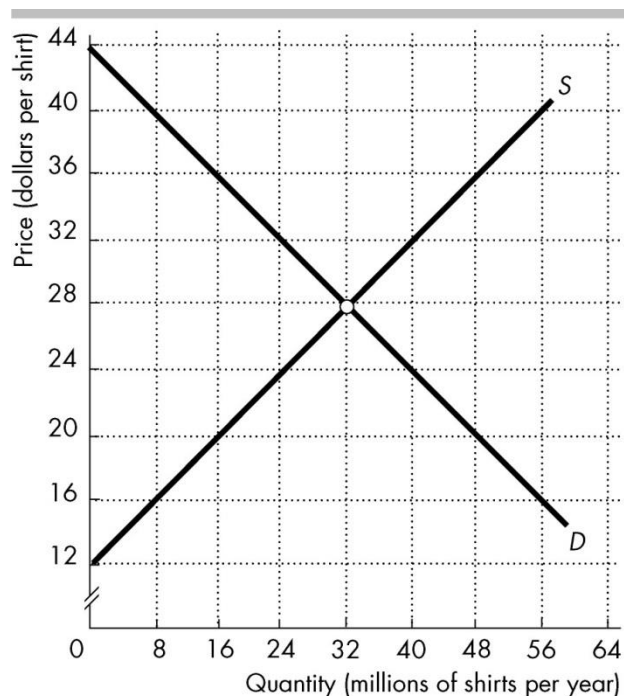
- 39) The United States has a comparative advantage in producing airplanes if
- A) it has a larger quantity of skilled workers than do other nations.
 - B) it can produce a larger quantity than can other nations.
 - C) it can produce them at a lower dollar cost than can other nations.
 - D) it can produce them at a lower opportunity cost than can other nations.
- 40) Prior to international trade, the price of good *X* is lower in country A than in country B. This means that we know that
- A) country A has a comparative advantage in the production of product *X*.
 - B) country B has an absolute advantage in the production of product *X*.
 - C) country A has an absolute advantage in the production of product *X*.
 - D) country B has a comparative advantage in the production of product *X*.
- 41) A country specializes in the production of goods for which it has a comparative advantage, so
- A) some producers and consumers win, some lose, but overall the gains exceed the losses.
 - B) producers win, consumers lose, but overall the gains exceed the losses.
 - C) all producers win.
 - D) all consumers win.



The figure shows the market for shirts in the United States, where *D* is the domestic demand curve and *S* is the domestic supply curve. The world price is \$20 per shirt.

- 42) In the figure above, with international trade American consumers buy _____ million shirts per year.
- A) 16
 - B) 24
 - C) 32
 - D) 48

- 43) Tariffs and import quotas both result in
 A) higher levels of domestic consumption. B) the domestic government gaining revenue.
 C) lower levels of domestic production. D) lower levels of imports.
- 44) An import quota on sugar
 A) increases the demand for sugar and raises its price.
 B) increases the imports of sugar and lowers its price.
 C) increases the imports of sugar and raises its price.
 D) decreases the imports of sugar and raises its price.
- 45) Who benefits from a tariff on a good?
 A) Domestic producers of the good B) Foreign producers of the good
 C) Domestic consumers of the good D) Foreign governments
- 46) When the United States imposes an import quota on a good, the amount of the _____ in U.S. consumer surplus is _____ the amount of the _____ in U.S. producer surplus.
 A) decrease; equal to; increase B) increase; smaller than; increase
 C) decrease; larger than; increase D) decrease; larger than; decrease
- 47) Import quotas _____ the price of imported goods and _____ the quantity consumed in the nation imposing the quota.
 A) raise; increase B) raise; decrease C) lower; decrease D) lower; increase
- 48) A key difference between tariffs and quotas is that
 A) the government receives revenue with quotas, but the importer receives added profit with tariffs.
 B) consumers are hurt with quotas but not with tariffs.
 C) the government receives revenue with tariffs, but the importer receives added profit with quotas.
 D) consumers are hurt with tariffs but not with quotas.
- 49) If the United States imposes a tariff on imported cars, the
 A) U.S. demand curve shifts leftward.
 B) U.S. supply curve shifts rightward.
 C) U.S. demand curve shifts rightward.
 D) the price in the United States rises but neither the U.S. demand curve nor the U.S. supply curve shift.
- 50) A tariff on imported peanuts _____ the quantity of peanuts imported and _____ the domestic price of peanuts.
 A) increases; lowers B) decreases; decreases
 C) decreases; increases D) does not change; increases

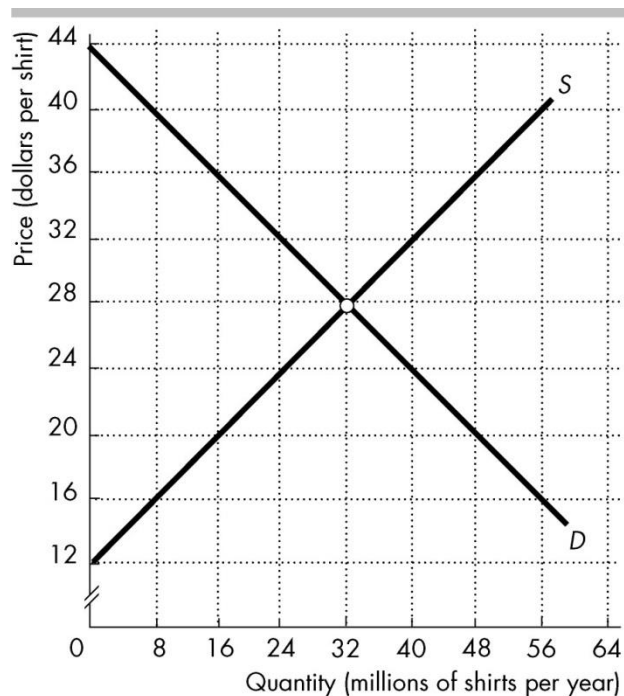


The figure shows the market for shirts in the United States, where D is the U.S demand curve and S is the U.S. supply curve. The world price is \$20 per shirt. The United States imposes a tariff on imported shirts, \$4 per shirt.

- 51) In the figure above, with the tariff American consumers _____ million shirts per year.
 A) 32 B) 40 C) 16 D) 48
- 52) In the figure above, with the tariff the United States imports _____ million shirts per year.
 A) 16 B) 32 C) 24 D) 8
- 53) In the figure above, the tariff _____ U.S. imports of shirts by _____ million shirts per year.
 A) decreases; 16 B) increases; 8 C) increases; 4 D) decreases; 8
- 54) In the figure above, the tariff _____ the domestic production of shirts in the United States by _____ per year.
 A) increases; 8 million B) increases; 4 million
 C) decreases; 8 million D) decreases; 16 million
- 55) In the figure above, the U.S. government's revenue from the tariff is _____.
 A) \$64 million B) \$128 million C) \$32 million D) \$48 million
- 56) In the figure above, U.S. consumers' _____ from the tariff is _____.
 A) loss; \$80 million B) loss; \$176 million C) gain; \$128 million D) gain; \$64 million
- 57) In the figure above, U.S. producers' _____ from the tariff is _____.
 A) gain; \$128 million B) loss; \$64 million C) loss; \$32 million D) gain; \$80 million

58) In the figure above, the deadweight loss from the tariff is _____.

- A) \$80 million B) zero C) \$16 million D) \$32 million



The figure shows the market for shirts in the United States, where D is the domestic demand curve and S is the domestic supply curve. The world price is \$20 per shirt.

59) In the figure above, with international trade _____ million shirts per year are produced in the United States.

- A) 32 B) 16 C) 20 D) 48

60) In the figure above, with international trade the United States _____ million shirts per year.

- A) exports 16 B) imports 32 C) exports 32 D) imports 48

61) In the figure above, international trade _____ consumer surplus in the United States by _____.

- A) decreases; \$192 million B) decreases; \$320 million
C) increases; \$192 million D) increases; \$320 million

62) In the figure above, international trade _____ producer surplus in the United States by _____.

- A) decreases; \$192 million B) decreases; \$320 million
C) increases; \$320 million D) increases; \$192 million

63) In the figure above, international trade _____ total surplus in the United States by _____.

- A) decreases; \$256 million B) increases; \$320 million
C) decreases; \$192 million D) increases; \$128 million

64) Suppose sugar is exported from a nation. In the sugar market who does NOT benefit from the exports?

- A) domestic producers B) workers in the industry
- C) domestic consumers D) foreign consumers

65) A country opens up to trade and becomes an importer of a sugar. In the sugar market, consumer surplus will _____, producer surplus will _____, and total surplus will _____.

- A) increase; decrease; decrease B) increase; decrease; increase
- C) decrease ; increase; increase D) decrease; decrease; decrease

ANSWER KEY

39	D
40	A
41	A
42	D
43	D
44	D
45	A
46	C
47	B
48	C
49	D
50	C
51	B
52	A
53	A
54	A
55	A
56	B
57	D
58	D
59	B
60	B
61	D
62	A
63	D
64	C
65	B